

When Sellers Don't Disclose

Buyers have every right to expect truthfulness from sellers, even in caveat emptor states. However, sellers sometimes fail to be entirely forthcoming, even in full disclosure states. Forms of seller deceit (intentional or not), depending on the state's laws, include:

- Failing to provide disclosure statements
- Lying on the disclosure form
- Refusing to answer buyers' direct questions regarding property condition
- Lying about property condition
- Concealing a defect with the intent to deceive the buyer

Buyer Remedies

When sellers fail to properly disclose, buyers have several options. A buyer's action will depend in part on the seller's action and the state disclosure laws.

- If the seller didn't provide a required disclosure in the proper timeframe, or has failed to fully disclose, the buyer can terminate the agreement and get a refund of earnest money deposited.

Example

Erica was two weeks away from closing on her new home when she discovered that the property was subject to a homeowners association (HOA) fee of \$200 per month. The seller hadn't disclosed this on the disclosure form, nor had he provided an HOA resale certificate. Erica didn't want to take on the added expense every month, so she terminated the agreement and got her \$5,000 earnest money deposit back.

- If the seller disclosure doesn't include an issue that's discovered prior to closing (whether or not it was an honest oversight), the buyer can ask the seller to make necessary repairs or provide a credit to the buyer.

Example

Bill and Fleur were surprised when they received the home inspection report for the property they were purchasing, and saw that the HVAC system was 16 years old and in dire need of replacement. On the seller disclosure form they'd examined before making their offer, the seller had claimed the system was brand new! They had their agent draft up a document asking the seller to either replace the HVAC or give them a \$3,000 credit at closing so they could buy the system themselves after the property transferred to them.

- If an issue indicating seller deceit on the disclosure is discovered after closing, the buyer can sue the seller for breach of contract or fraud.

Example

Two months after buying his home, Indy Jones was just about to climb into bed on a cool November evening when he noticed a rustling under the sheets. He cautiously pulled them back to find a three-foot-long black snake. Running from the room, and knowing he wasn't going to sleep a wink that night, he grabbed a flashlight and looked for more. By daybreak, he'd found seven more snakes—one of them eight feet long. Before packing an overnight bag and leaving, he Googled the number of an attorney. After the attorney did some digging and discovered that the former owners had received complaints from tenants about snakes, Indy decided to sue the owners and their agent for \$2 million.

If you're thinking some of these situations seem far-fetched, think again—that "snake house" example was inspired by an actual case in Maryland. We don't know the exact settlement amount, but public records show that the seller's broker ended up buying the house back for the exact amount the buyers had paid for it: \$410,000. Not an inexpensive mistake!

Other Remedies

In some states, the seller has the option of providing disclosure or giving the buyer a standard (and nominal) credit at closing. However, this doesn't necessarily release the seller from all disclosure obligations, such as the requirement to disclose material defects, creating quite the legal gray area. The bottom line is: When in doubt, encourage sellers to disclose, and buyers to investigate via a home inspection.